THE SESSION · POST-CLOSE READ

# The Reversal *Reversed*

*Long-end yields rebounded and the indices gave back Wednesday's advance — but the liquidity the Treasury created did not disappear. It moved into hard assets, and the Growth Portfolio moved with it.*

S&P 500 ▼ 0.85% · NASDAQ ▼ 1.02% · DOW ▼ 1.32% · VIX 16.1 · BRENT ▲ $94

## DIVIDEND STRATEGY

▼ TRAILED DVY · BEAT SPY

**−0.71%** 1-DAY

| | |
|---|---|
| FCI | −0.71% |
| DVY | −0.67% |
| SPY | −0.84% |

YTD **+21.33%** vs DVY +18.27% · SPY +12.43%

## GROWTH PORTFOLIO

▲ BEAT IUSG

**+0.33%** 1-DAY

| | |
|---|---|
| FCI | +0.33% |
| IUSG | −0.73% |

YTD **+21.65%** vs IUSG +12.93%

## THE SESSION

**Wednesday's duration reversal did not survive the session.** Long-end yields rebounded as the market read the doubling of Treasury's long-dated buyback operations as monetization first and liquidity support second. The S&P 500 closed at 7,642.21, the Nasdaq Composite at 26,062.48, and the Dow carried the widest decline of the three, weighed by Walmart's reaction to softer U.S. comparable sales. Brent added 2.08% to $93.53 after the administration hardened its economic posture toward Iran, and the VIX lifted to 16.05. What did not reverse was the liquidity impulse itself. It simply moved: bitcoin traded back above $70,000 for the first time since June, ether cleared $2,250, and the hard-asset complex — metals, miners, fertilizer — took the bid the bond market had just declined.

That migration is the whole story of the Growth Portfolio's session. The sleeve closed **+0.33%** against IUSG at −0.73%, a 106-basis-point spread on a day when the growth benchmark simply tracked the index lower. The gap came almost entirely from holdings positioned on the physical and monetary side of the ledger rather than the multiple-expansion side: MARA +15.54%, HUT +8.00%, FCX +3.11% and AEM +2.18%, alongside MRVL +5.79% on the second day of follow-through from the Alphabet agreement. The digital-asset holdings carried the same signal, with IBIT +6.24% and ETHA +10.52%. NVDA, by contrast, closed −0.25%. The index-weight names did nothing on the session, and the sleeve did not need them to.

*The bond market declined the liquidity. The hard assets accepted it. Both were responding to the same announcement.*

The Dividend Strategy had the harder session, closing **−0.71%** — four basis points behind DVY at −0.67%, thirteen ahead of SPY at −0.84%. The drag was concentrated and identifiable: STLD −5.20% on the second day of the Canadian steel-duty repricing, SYK −3.60% surrendering Wednesday's healthcare-led advance, and LMT −2.97% on the same peace-process discount that has framed defense since June. NTR +3.73% and SPGI +1.29% were the offsets. Four basis points against a benchmark is noise rather than signal; the year-to-date figures are where the sleeve's case actually sits, and there the Dividend Strategy holds +21.33% against DVY's +18.27% and SPY's +12.43%. Nothing in this session changed what we own or why. It changed the price at which we own it.

## FCI HOLDINGS · NOTABLE MOVERS

### WINNERS

**MARA** +15.54% — GROWTH
Bitcoin traded back above $70,000 for the first time since June and the miner complex followed. The widest single-name gain in the book.

**HUT** +8.00% — GROWTH
Second session of miner beta on the digital-asset bid, extending Wednesday's advance.

**MRVL** +5.79% — GROWTH
Follow-through on the Alphabet custom-silicon warrant disclosed Wednesday. Fiscal Q2 results are scheduled for August 27.

**NTR** +3.73% — DIVIDEND
Fertilizer bid with the wider commodity complex as Brent firmed on the hardened U.S. posture toward Iran.

**FCX** +3.11% — GROWTH
Copper and gold exposure took the hard-asset bid alongside the metals tape.

**AEM** +2.18% — GROWTH
Gold miners extended Wednesday's move as the precious-metals complex held its gains.

### DECLINERS

**ATAT** −7.43% — GROWTH
Q2 revenue grew 41.4% year over year, but same-hotel metrics declined and margins compressed against that top line.

**STLD** −5.20% — DIVIDEND
Second session of the steel repricing after a report that the U.S. plans to halve duties on certain Canadian steel and aluminum.

**HRMY** −4.66% — GROWTH
Small-cap biotech gave back ground with the broader risk complex on a session that sorted by liquidity, not fundamentals.

**SYF** −3.63% — GROWTH
Consumer-credit names traded on the low-end household read from Walmart's quarter.

**SYK** −3.60% — DIVIDEND
Medtech surrendered Wednesday's healthcare-led advance as the sector rotation unwound.

**LMT** −2.97% — DIVIDEND
Defense continued to carry the peace-process discount that has framed the group since June.

## HOLDINGS NEWS

**Atour Lifestyle (ATAT) reported second-quarter results before the open.** Net revenue rose 41.4% year over year to RMB3.49 billion (roughly $514 million), with net income up 29.0% to RMB548 million and adjusted EBITDA up 34.6%. The network reached 2,175 hotels and 242,526 rooms, gains of 19.2% and 18.4% respectively, with 811 manachised properties in the development pipeline. The market looked past all of it: same-hotel performance metrics declined year over year and margins compressed against the top-line growth, and shares closed −7.43%. The scale build is intact. The unit economics underneath it are the question the next two quarters will answer.

**Marvell (MRVL) held its gain from the Alphabet agreement.** The company disclosed Wednesday a commercial agreement granting Alphabet a warrant for up to 58.97 million shares at an exercise price of $206.58 — roughly 7% of shares outstanding. Most of the position vests only against eligible custom-products revenue in $500 million increments tied to Google's TPU roadmap for AI inference accelerators and network controllers. The structure is the point: this is a customer commitment priced as equity rather than a financing event. Shares added 5.79% Thursday on top of Wednesday's move, with fiscal second-quarter results scheduled for August 27.

## YEAR-TO-DATE STANDING

**DIVIDEND STRATEGY**

# +21.33%

vs DVY +18.27% / SPY +12.43%

**GROWTH PORTFOLIO**

# +21.65%

vs IUSG +12.93%